

Report of the Finance Department

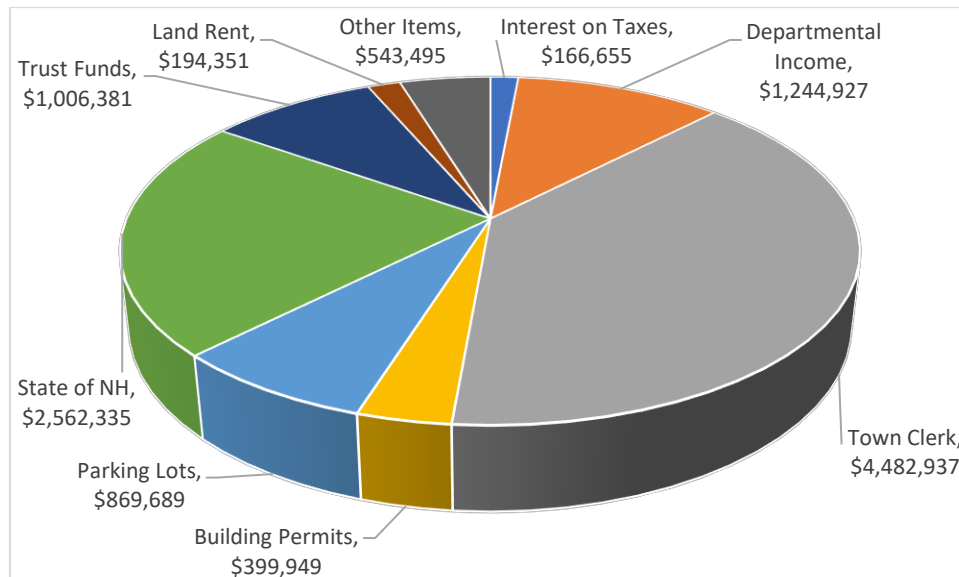
To the Town of Hampton:

The Finance Department prepares and analyzes financial statements which are presented to the Select Board monthly. Some of the other tasks that we complete during the year are assisting with budget preparation, managing financial audit, cash reconciliation, preparing accounts payable/receivables, process payroll, preparing municipal reports, and submitting for grant reimbursements.

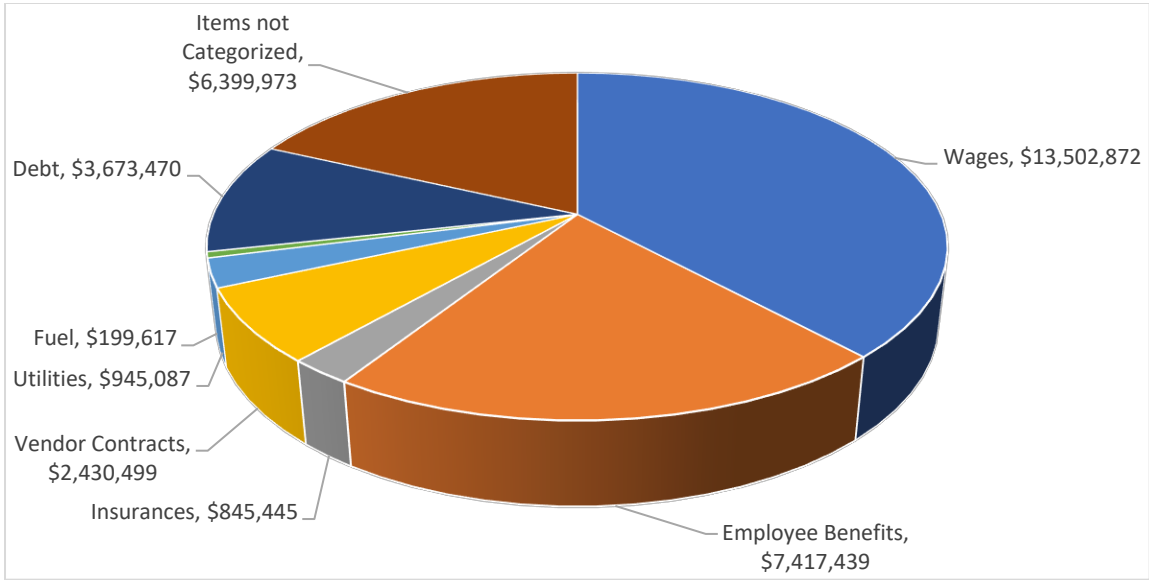
In 2024 the Finance Department continued to learn the new financial software that was implemented in November of 2023. Change is always hard, but my team really embraced the new system, and it has been a success so far.

The 2024 unaudited (current year) Income/Expense reports follow the format used when reporting to the Select Board each month and open with a Financial Summary for the year.

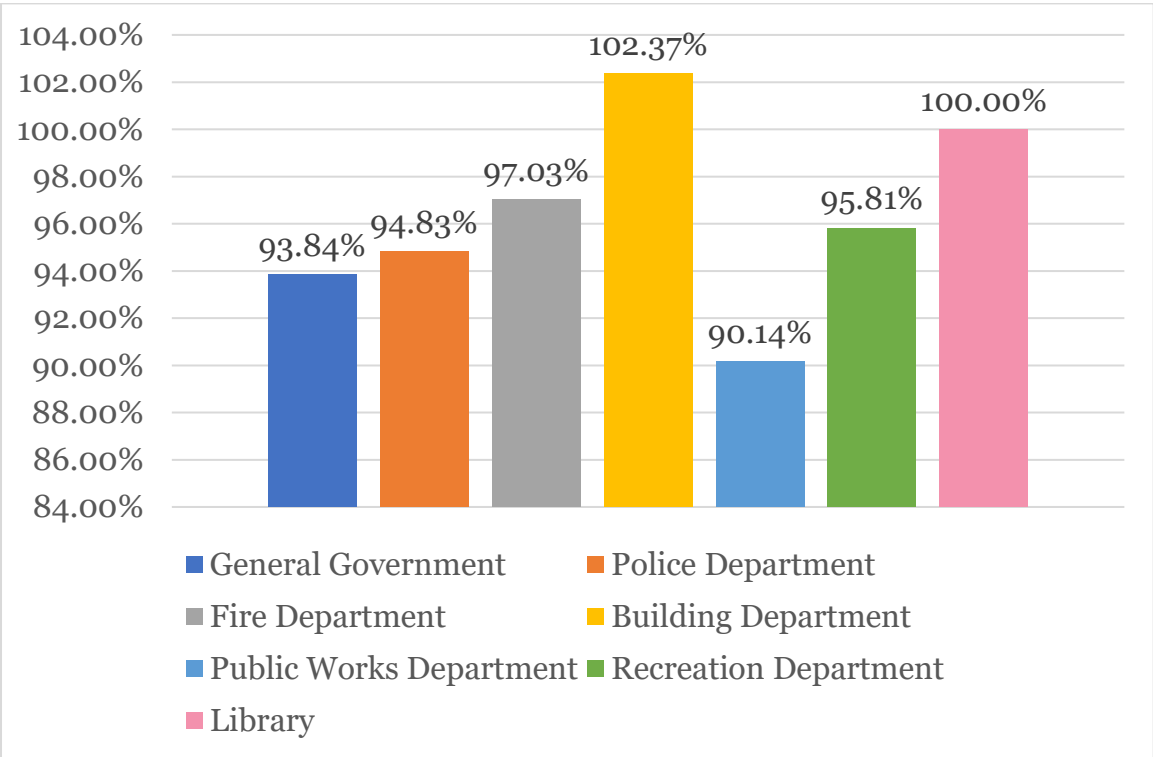
Looking at revenues you will see that we took in \$11,470,717 in revenue from sources such as Motor Vehicle registrations, Building Permits, Real Estate Trust Income, Parking Lots, State of NH, and departmental income to name a few. The Town's portion of the property tax effort totaled \$26,902,065 with the total municipal tax effort at \$74,701,796. The chart below shows a breakdown of revenues.



On the expense side you will see that we spent \$33,772,808, which includes purchase orders totaling \$532,815. This puts us at 95.36% spent or under budget by 4.64%. These amounts do not include expenditures related to warrant articles. The chart below shows a breakdown of budget expenditures.



Here is a representation of where each of the departments ended 2024.



At the end of the financials, you will find reports for some of the other major funds outside of the general fund. The balances of these funds are as follows: Recreation Fund \$139,814; Cable Fund \$941,061; Detail Fund \$394,427; EMS Fund \$1,499,371; Recycling Fund \$36,118; and Wastewater System Development Charge \$318,133. There is also a summary of revenues received from grants/donations along with the said expenses.

Understanding the Unassigned Fund Balance is often confusing to taxpayers. In government accounting, fund balance is the difference between assets and liabilities resulting in

Financial Reporting

a surplus or a deficit. A common misconception is that fund balance is a cash account, associated with or correlated to a government's bank account balance. But unlike a personal bank account, a general fund balance is not a "cash-account;" it is a measure of equity between revenues and expenditures. In the private sector it would be defined as a company's working capital, but in the public sector, it is referred to as fund balance. In government finance, the retention and use of unassigned fund balance assists in measuring the financial health of an individual fund, such as the general fund. The 2023 audited Unassigned Fund balance was \$7,839,387.

In March of 2024, the voters passed warrant articles using Unassigned Fund Balance totaling \$1,154,500. At the time of setting the tax rate the Select Board used \$500,000 to help reduce the municipal portion of the tax rate. Based on the unaudited financials we are expecting to return approximately \$1,641,000 in expenses and be over in estimated revenues by \$709,006. We are still processing 2024 invoices so these amounts will change. The unaudited Unassigned Fund Balance as of December 31, 2024, is estimated to be \$8,534,893. The official Unassigned Fund Balance figure will come from the 2024 audit.

The Finance Director is also responsible for overseeing the MIS Team. The department consists of 2 full-time and 1 part-time employee. These three employees are responsible for the entire town network/computer system. This includes Town Hall, Recreation, DPW, Fire, Police and Cemetery. They assist with elections and Channel 22 operations as well. The work that they do to keep everything up and running is outstanding.

I would like to sincerely thank all my staff in Finance, MIS and Channel 22 for their continued dedication to the Town. This group of employees goes above and beyond every day and I am grateful to each of them.

The Finance Department and MIS look forward to another successful year in 2025 and thank all the residents of Hampton for their continued support.

Respectfully submitted,

Kristi Pulliam
Finance Director